TOPIC 3 · ECONOMIC ISSUES

Source: NAB Monthly Business Survey (via Reuters, investingLive)
Wednesday 11 November 2026

Business conditions slump to a six-year low as costs keep rising

NAB's October survey shows business conditions at their weakest since **August 2020** and forward orders falling sharply. Yet **purchase costs are still rising**, the mix that makes the RBA's job harder.

WHAT HAPPENED

- **Business conditions** fell 1 point to **−2**, the lowest since August 2020. **Forward orders** dropped sharply.
- **Business confidence** fell 1 point to **−15**, far below its long-run average of +5.
- **Retail** was weakest on confidence, conditions and orders, and **construction** is softening.
- **Purchase cost growth** rose to 2.4% a quarter. NAB says cost pressure remains a serious inflation risk even as growth slows.
- Underlying inflation was **3.6%** in September, above the RBA's 2–3% target.

Business conditions: firms' current trading, profitability and employment
Forward orders: a leading indicator of future demand
Stagflation: rising prices combined with weak growth

KEY NUMBERS

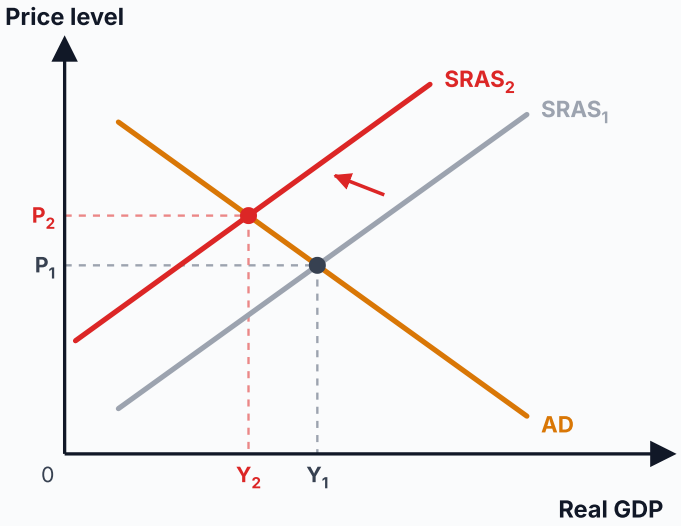
−2
Business conditions, October (lowest since Aug 2020)

−15
Business confidence (long-run average +5)

2.4%
Quarterly purchase cost growth

3.6%
Underlying inflation, September

DIAGRAM Rising costs push the economy towards stagflation



Higher input costs (fuel, purchases, wages) shift short-run aggregate supply from **$SRAS_1$ to $SRAS_2$**.

The price level rises from **P_1 to P_2** while real output falls from **Y_1 to Y_2**.

NAB's survey shows both forces at once: **weak demand** (falling orders) and **cost pressure** (rising purchase costs).

Exam angle: a supply-side shock creates a **policy conflict**: raising rates fights inflation but deepens the slowdown in growth and jobs.

COMPARE Two forces in the October survey

Demand side: weakening
- Forward orders fell sharply
- Retail weakest of all industries
- Construction softening after a strong year

Supply side: cost pressure
- Purchase costs up 2.4% a quarter
- Petrol still far above its 12-month average
- Underlying inflation 3.6%, above target

SYLLABUS LINK

Topic 3 – economic growth and cost-push inflation; stagflation risk.
Topic 4 – conflicts between policy objectives.

TRY THIS

Using an AD/AS diagram, explain why rising business costs make the RBA's job harder.
(4 MARKS)

investingLive – Australia business conditions hit six-year low as forward orders slide: NAB: https://investinglive.com/news/australia-business-conditions-hit-six-year-low-as-forward-orders-slide-nab/
The Star (Reuters/Bloomberg) – Australia business conditions fall to six-year low: https://www.thestar.com.my/business/business-news/2026/11/10/australia-business-conditions-fall-to-six-year-low-in-october-nab-survey-shows

Diagrams are illustrative, not to scale